REDDIT INC RDDT

June 16, 2025 - 4:45pm EST
by mike126

			2025	2026
Price:	118.18	EPS	2.37	3.30
Shares Out. (in M):	206	P/E	49.9	36.0
Market Cap (in $M):	24,345	P/FCF	45.5	29.0
Net Debt (in $M):	-1,925	EBIT	148	364
TEV (in $M):	22,420	TEV/EBIT	152.0	61.6

Description

I am long the shares of **Reddit** (ticker RDDT US) and think it is a compelling multi-year investment. The company went public last year. Reddit is known as the Internet's forum where users congregate around common interests, ask others for guidance and get trusted recommendations, and also where businesses lurk to monitor customer feedback/complaints and track product buzz / brand perceptions. In these areas, Reddit defeated competitors such as Yahoo Answers and Quora. Historically, the Reddit platform often had a reputation for being cantankerous and its moderators (mods) as being combative and unreceptive to top-down platform changes made by Reddit's management; and from businesses' POV, Reddit was not viewed as a 'brand-safe' platform for advertising. In more recent years, Reddit has been modernizing and undergoing a rapid evolution towards a more sophisticated digital ads and data-licensing platform. Reddit also has nascent untapped opportunities in increasing engagement (via Chat and Answers) and finding new revenue sources (through a Patreon-like creator economy and affiliate ads-business). Today, Reddit is considered a relatively contentious company among Internet sector analysts. The bear case on Reddit centers on generic top-of-funnel Internet risk from AI, fears that the user base will top out due to onboarding frictions and lack of stickiness, as well as the perceived riskiness of the Google partnership. I view these risks as overblown, and I think that Reddit's market value is too low for the resiliency and unique growth opportunities that Reddit has. Reddit is currently run-rating at annualized $1.4B of revenue, $14.50 of annualized ARPU per DAU, and $300M of FCF before stock comp (c20% margin). I expect that over the next 5 years, Reddit will grow revenue at a >25% CAGR and FCF per diluted share at a >50% CAGR. I expect >$12 of diluted FCF per share in 2030. At a 20x exit multiple, this results in a >15% IRR from today's share price of c.$118.

Unique, resilient platform

Reddit launched in 2005 and its founding team was in the inaugural class of the startup accelerator YCombinator. One of Reddit's co-founders Steve Huffman is currently Reddit's CEO. Reddit is now the 9th-most visited website globally, but despite that it has a relatively small number of very highly engaged users i.e. 100M daily active users (DAUs).

Data is compiled from Similarweb (as of April 2025) and Semrush (as of April 2025). This list does not factor subpages that use the same domain as the parent site.[1][2]

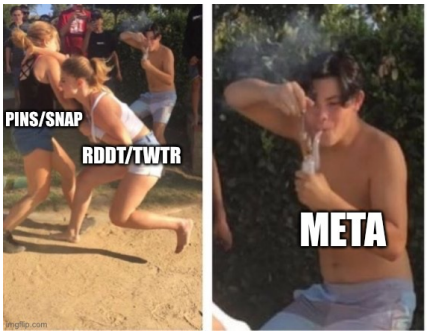
Website	Domain name	Ranking		Type	Company / Nonprofit organization	Country
		Similarweb (April 2025)	Semrush (April 2025)			
Google Search	google.com	1 (–)	1 (–)	Search Engine	Google	United States
YouTube	youtube.com	2 (–)	2 (–)	Video-sharing platform	Google	United States
Facebook	facebook.com	3 (–)	3 (–)	Social Media Networks	Meta	United States
Instagram	instagram.com	4 (–)	4 (–)	Social Media Networks	Meta	United States
ChatGPT	chatgpt.com	5 (–) (May 2025)	5 (▲)1 (May 2025)	Programming and Developer Software	OpenAI	United States
X/Twitter	x.com	6 (▼)1	10 (–)	Social network	X Corp.	United States
WhatsApp	whatsapp.com	7 (–)	11 (–)	Instant messaging and voice-over-IP	Meta	United States
Wikipedia	wikipedia.org	8 (–)	6 (▼)1	Encyclopedia	Wikimedia Foundation[a]	United States
Reddit	reddit.com	9 (–)	9 (▼)2	Social Media Networks	Reddit	United States
Yahoo JP	yahoo.co.jp	10 (–)	15 (▲)2	News & Media Publishers	LY Corporation	Japan
Yahoo	yahoo.com	11 (–)	16 (▼)2	News & Media Publishers	Yahoo!	United States
Yandex	yandex.ru	12 (–)	18 (▼)6	Search Engines	Yandex	Russia
TikTok	tiktok.com	13 (▲)1	17 (▲)1	Social Media Networks	ByteDance	China
Amazon	amazon.com	14 (▼)1	14 (▲)1	Marketplace	Amazon	United States
Baidu	baidu.com	15 (–)	N/A	Search Engines	Baidu	China
Microsoft Online	msn.com	17 (▼)1	20 (▲)2	Programming and Developer Software	Microsoft	United States
LinkedIn	linkedin.com	18 (▼)1	23 (▲)5	Social Media Networks	Microsoft	United States
Pornhub	pornhub.com	19 (▲)1	8 (▲)1	Pornography	Aylo	Canada
Netflix	netflix.com	20 (▼)1	26 (▼)5	Streaming & Online TV	Netflix, Inc.	United States

Reddit has a rich and colourful history as an Internet destination, and it has survived and thrived despite historical monetization challenges, changes in

ownership, significant management turnover and mutinies by its moderators e.g. the 2014/15 backlash against the firing of a popular mod and the 2023 subreddit blackouts after Reddit ended free access to its APIs. I assume that VIC members generally have some familiarity with Reddit and if that is not the case, I think VIC members see the value and user attraction of text-based, BBS-like Internet forums where users can flock around common interests, hobbies or professions (and VIC is a unique example of one). I personally enjoy using Reddit for my hobbies as well as for investment research, as there are many subreddits you can read to see the user and practitioner conversations in specific sub-industries. E.g. I wrote-up Alcon (ALC) on VIC a few years ago and subreddits like r/contacts, r/optometry and r/ophthalmology are helpful for understanding that business. I think many other VIC members probably do something similar. And more generally, over the years, the r/SecurityAnalysis subreddit has also been a valuable resource to keep abreast of quarterly letters from investors. Reddit has a bit of a learning curve e.g. new users often find that their posts get taken down by mods ("read the FAQ first before asking this question that countless others have asked before in this subreddit", etc) but after you get over that hump, the platform is quite useful / enjoyable.

Reddit's founders sold the company to the publisher Conde Nast/Advance in 2006 and left the company soon after. Reddit started serving ads in 2009, but for the next few years the company still struggled to generate a profit and limit cash-burn. In 2015, Huffman and co-founder Alexis Ohanian returned to the company. They are credited with modernizing the business and markedly increasing the speed of Reddit's new product evolution and experimentation. They've hired several executives and PMs from META/FB and GOOG and significantly improved Reddit's ad capabilities beyond traditional banner ads towards more sophisticated targeting. Today Reddit earns $14.50 of annualized ARPU per DAU, which is in the same neighborhood as Pinterest and SNAP but it is dwarfed by that of META (>$50 per DAU), and that delta is even understated when you consider how global META now is vs how relatively US-centric Reddit currently is. Overall, Reddit's per-DAU profitability is around Facebook's late 2013 level, right before Instagram began serving ads. Reddit only recently started spitting out meaningful cash-flow and I believe the current financials are burdened by investments that will be bearing fruit in the future quarters.

But it is important to manage expectations. There are four solid reasons why Reddit won't match META's ARPU level anytime soon: (1) time spent on FB/IG platforms is almost always by logged-in users whereas lots of Reddit consumption is by people who either do not have a Reddit account or are not logged-in, and this significantly limits what Reddit knows about the user and thus the precision of ad targeting; only a portion of registered Reddit users post actively and create the content (UGC); (2) FB/IG are much better at 'pushing' content that you might like to see both due to the inherent nature of the format and being better at AI; Reddit historically is about 'pull', i.e. users initiate a visit to Reddit with a predetermined question / idea in mind and won't always browse off to other subreddits; this contributes to the big difference in daily engaged minutes spent on the different platforms; (3) the scale of FB/IG is truly massive i.e. very global, very dense, and it has user bases in the billions - this is attractive to larger advertisers not only because the platforms can absorb more ad spend, but also because as the user base grows, the improvement in the platform's ability to target effectively grows non-linearly, increasing ad ROI non-linearly; (4) IG Reels are well-suited to video and video has a higher monetization efficiency, and the horizontal (or vertical) 'swipe' motion to skip/ navigate away from a full-screen video ad on a mobile device is less taxing for the user and allows IG to increase ad-load in a way that avoids annoying the user (e.g. compare this to the aggravating unskippable Youtube ads).

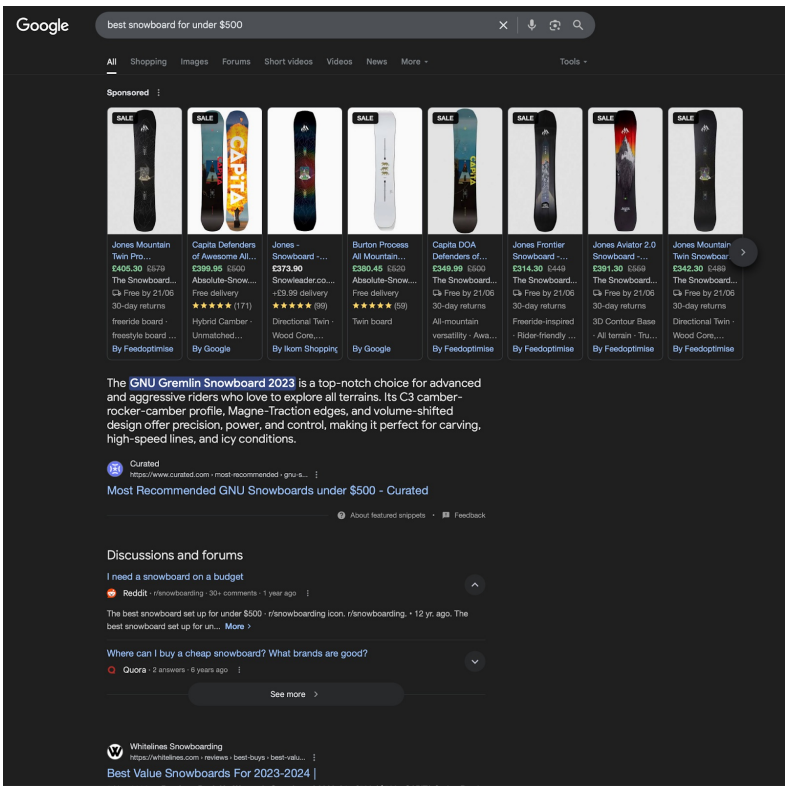


All that said, Reddit has had some decent traction in ads, growing ad revenue from <$500M in 2021 (ARPU $9) to $1.4B currently (ARPU c.$14). META and GOOG are still the gorillas in the market, drawing the vast majority (50-70%) of large digital advertisers' spend, with the rest apportioned between Reddit, PINS, Snapchat, Applovin, and a smaller portion to the likes of X. And Reddit has upside in ARPU not just from increased targeting sophistication and advertiser mindshare that comes with the growth in the size and engagement of its user-base, but also by increasing ad-load. Ad-load on Reddit is below that of other platforms, especially IG and Youtube. There are several levers that Reddit management can pull to drive revenue but I like that they are being thoughtful, long-term oriented and gradual in pulling those levers. Huffman is cognizant that users, mods and UGC are essential to the platform.

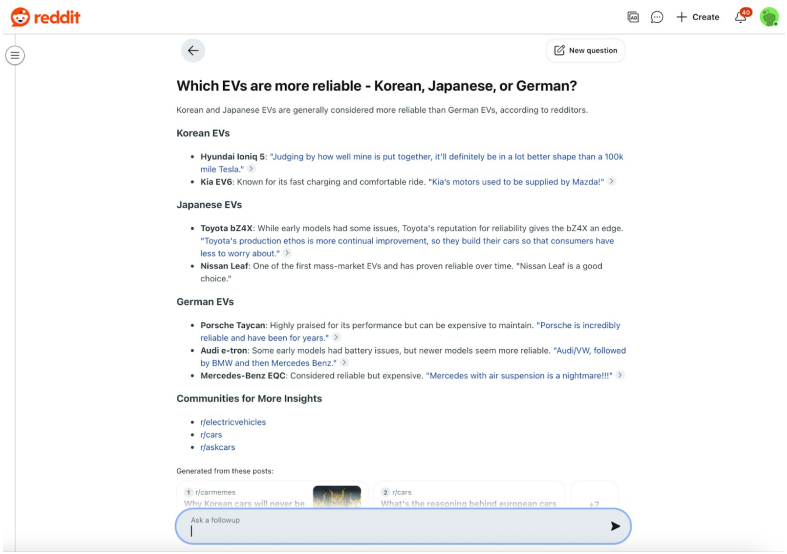
Huffman shepherded the company through controversies like the website redesign and the 2023 API blocking. The latter was a reasonable move by Reddit as it limits the ability of external AI to siphon Reddit's UGC data for free. To increase user stickiness and grow DAUs further, Reddit launched a group chat/group threads feature (currently barely promoted) and announced plans to introduce paywalled content. The latter will effectively allow content creators to create and oversee their own subreddits that will be either entirely paywalled or have tiers of free and subscriber-only content, and earn a portion of the subscription - a logical move that is copying other platforms like Twitch and may siphon away some business from others like Patreon. Reddit already has a paid user

subscription product (Reddit Premium, f/ka Reddit Gold) that is ad-free and has cosmetic benefits like better avatars, but the revenue from this is so far immaterial.

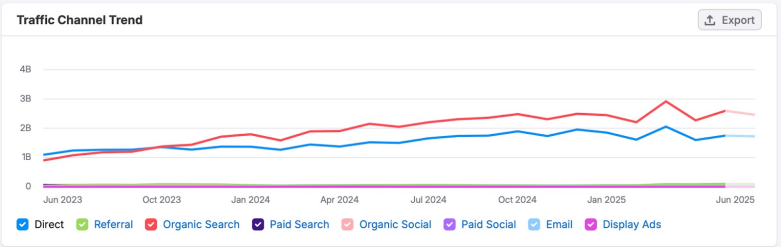
Perhaps the most consequential recent decisions made by Steve Huffman and RDDT's management are the 2024 partnerships with Google and OpenAI. The RDDT/GOOG partnership enables Google to access Reddit's API and means that Reddit answers are more prominently featured in Google core searches and Google AI searches, e.g. example below.



Reddit is also using GCP and Google's LLM technology to power Reddit Answers. Reddit Answers is Reddit's new chatbot that serves up answers based on the corpus of Reddit UGC data. I recommend the readers to give it a try. It has limitations (e.g. for some reason it doesn't store and remember my history of queries) but I've found answers to be usable and to-the-point.



The Reddit/GOOG partnership is considered to be a key risk factor among analysts. RDDT is seen as potentially overly reliant on GOOG for organic search traffic. See below data from Semrush showing that in the past 2 years, search traffic is outgrowing direct traffic significantly. Thus the fear is that either GOOG changes algorithms to deprioritize Reddit too much (or ends the partnership altogether) or that Reddit is tying itself to a ship (GOOG) that is slowly being sunk by OpenAI etc.



I am more positive and think the Google/Reddit relationship is a lot more symbiotic than it may seem to the RDDT bears. Per Semrush, the term 'Reddit' is a keyword in 13.6M monthly searches on Google globally, ranking it #40th most searched term.

30	canva	20,400,000
31	costco	20,400,000
32	espn	20,400,000
33	news	20,400,000
34	usps tracking	16,600,000
35	twitter	16,600,000
36	gumbo	16,600,000
37	google docs	13,600,000
38	x	13,600,000
39	lowes	13,600,000
40	reddit	13,600,000
41	ufc	13,600,000
42	bianca censori	13,600,000
43	connections	13,600,000
44	streameast	13,600,000
45	english to spanish	13,600,000

But 2 years ago (before the Google partnership), 'Reddit' was a lot less popular as a search term on Google. See the same Semrush ranking from 2 years ago (mid 2023); it was the 98th most searched term, with 8.6M monthly searches.

85	capital one	9,100,000
86	you	9,100,000
87	pizza hut	9,100,000
88	t mobile	9,100,000
89	google classroom	9,100,000
90	solitaire	9,100,000
91	pinterest	9,100,000
92	translate english to spanish	9,100,000
93	the last of us	8,800,000
94	soap2day	8,600,000
95	premier league	8,600,000
96	outlook	8,600,000
97	google drive	8,600,000
98	reddit	8,600,000
99	autozone	8,600,000
100	canva	8,600,000

But even these ranking changes undersell Reddit's mindshare. Google search users are specifically appending 'Reddit' to their searches; per Reddit's CEO Steve Huffman, in 2024, 'Reddit' was the 6th most searched word on Google in the US. I.e. when it comes to these Google users in the US, they are not searching for 'best Unity games', they are searching 'best Unity games Reddit', and so on.

The RDDT/OpenAI partnership formalizes OAI's access to Reddit APIs and makes it easier for OAI to train on / fetch Reddit data. It preserves an important tendency of ChatGPT answers to reference Reddit for user queries like "what are people saying about [X]?" e.g. "what are people saying about Assassin's Creed's Shadows?". Besides their strategic value, these partnerships generate revenue for RDDT in the 'Other revenue' business segment. This revenue is less than 10% of RDDT's consolidated revenue but it should grow in absolute $ value long-term significantly, and Reddit's management signalled future licensing deals are expected to be quite significant. I am speculating, but a big, all-encompassing deal with META or Apple would be a long-term highly consequential and short-term market-moving event for Reddit, I believe.

What does AI mean for Reddit's prospects specifically? I think it's a long-term positive. As the proportion of AI-generated content (some call it 'slop') on the Internet increases, I think the relative value of trusted UGC will increase. I think the GOOG/OAI partnerships are an early signpost showing that Google and OAI have a similar expectation. And, in a world where 'the truth' / our collective understanding / the zeitgeist will be increasingly determined by what is spat out by AIs, any single person's path to influencing it (and influencing the posterity's perception of that person or of a particular topic important to that person) will be through UGC, and specifically UGC that is bound to be picked up and highly indexed/ranked by those AI algorithms. This may end up being particularly important for businesses.

Risks

Reddit's current valuation of 17x TEV/revenue magnifies the risks. Besides the AI and Google risks (discussed above; these are the ones that the analysts covering the company are laser-focused on), Reddit may underperform if management fails in continuing to grow its user base and user engagement, e.g. due to things like managerial missteps / redesigns that irreversibly alienate users, failures to adequately penetrate ex-US / non-English-speaking markets (e.g. Reddit's AI translation initiatives there may fail), and/or competition. Competition - this is related to the core problem that is faced by pretty much all of the ad/adtech companies other than META. And that problem, of course, is META. The sophistication / ROI and reach of Meta's ad business is in a league of its

own. That success allows Meta to be the employer of choice in adtech and ad-related data science (and they can also pay the most), which historically basically meant that most of the others (Reddit, Twitter/X, Pinterest, Snapchat, etc) were staffed by engineers/PMs less strong than those at Meta. Another other key perceived risk around Reddit (and this is largely true for any social network / UGC platform) is NSFW content, but I think that risk might be overstated. E.g. below is the organic traffic at Reddit total vs one of the largest NSFW subreddits. NSFW subreddit organic traffic growth is lower than that of Reddit overall; I've also checked this against normal popular subreddits. I think there's lots of limitations in using 3rd party research/estimation/'alt data' tools like Semrush and Alexa but at least directionally this gives more comfort than if the results showed the opposite.



Summary

Reddit is a good business that sits at an interesting point in its evolution where further growth in the user base, engagement and engagement-boosting ancillaries (e.g. easier onboarding, Chat, Answers, paywalls, creator economy) will result in a disproportionately good improvement in ad ROI and ad tool sophistication, driving strong top-line growth (>20%) and even better growth in dropdown to profits and FCF. Reddit screens cheap on outer-year consensus estimates, highlighting the deep worries in the analyst / investor community about the AI question and the perceived risk of Google reliance for traffic. I believe Reddit is actually in an enviable position to benefit from AI, and occupies an increasingly strategic position in the future of the Internet. I expect share price outperformance as Reddit more-or-less delivers on the future sequence of consensus financial forecasts and the growth-rate decay in the outer years is less than expected, while the fears about the riskiness of the business model gradually become less acute.

I do not hold a position with the issuer such as employment, directorship, or consultancy.
I and/or others I advise hold a material investment in the issuer's securities.

Catalyst

Succession of quarterly financial results

Other events unlocking incremental information (e.g. IR days / CMDs), competitor quarterly results, etc

Messages

Subject How effective is the ML translation tool for attracting non-english speaking users?
Entry 06/17/2025 04:35 AM
Member yxd0950

Hi Mike,

Thanks for this interesting idea.

If we can bring all the people from the world into one conversation, that'd be a big network effect for Reddit. But since I'm not a big reddit user, I'm wondering how effective you feel the ML tool really is.

Thanks.

Subject Reddit / ChatGPT
Entry 10/01/2025 02:11 PM
Member marwari25

Mike-any thoughts on this?

https://finance.yahoo.com/news/reddit-stock-falls-for-second-day-as-references-to-its-content-in-chatgpt-responses-plummet-135203534.html

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Subject Re: Reddit / ChatGPT
Entry 10/03/2025 12:35 PM
Member mike126

Hi marwari25 -

Thank you - sorry, I do not know, and do not have much insight to offer on that alt data although it does look a bit worrisome. I acknowledge the spiky price action but I don't want to read into it too much.

Subject Re: How effective is the ML translation tool for attracting non-english speaking users?
Entry 10/03/2025 12:41 PM
Member mike126

Hi yxd0950,

I am sorry for the late reply. When I tried to browse to foreign Reddit content and/or using Reddit with VPNs, my experience wasn't great. But that was my personal experience; I believe they can improve it, and I wish I knew enough to judge if there are some invisible ceilings / asymptotes that mean they won't succeed in breaking down the language barrier longer term. It's an important topic because user-growth fear is probably the #1 reason people are shorting RDDT, but I've not seen compelling analysis proving that there is that ceiling.

Subject Author Exit Recommendation
Entry 01/13/2026 04:15 PM
Member mike126

The author has recommended exiting the position

Subject Re: Author Exit Recommendation
Entry 02/11/2026 05:25 PM
Member Houdini

mike126,

Any color on why you exited the position and thoughts on the risk/reward today?

Many Thanks

Subject Re: Re: Author Exit Recommendation
Entry 02/11/2026 05:57 PM
Member mike126

Hi Houdini, stock more than doubled rapidly since entry in a very short period of time so prospective returns were worse, and at the same time I started worrying a bit more about OpenAI intro'ing ads and that this might create negative newsflow for RDDT and for pretty much everyone else who is in the non-META, non-GOOG part of the ad budget e.g. SNAP, PINS etc. Paranoid that it could be a new bear case that will be tough to disprove. In hindsight, OAI hiring Fidji Simo should have been a bigger thing on my radar. All that said, RDDT fell markedly in the past month and is falling towards the entry price again, despite recent quarterly results that looked fine to me and Reddit-like format is on the rise in a totally unexpected way via Moltbook; I don't see much discussion of potential Chatgpt ad headwinds, though. I have not bought back in yet and I confess that I might be somewhat distracted by the strange price reactions and ongoing dislocations elsewhere in the market right now. Sorry if this is not very helpful, and would be grateful to hear your views on Reddit, too.

Subject RDDT In 2030
Entry 11/01/2026 03:05 PM

Member hkup881

Great writeup by mike126. I think RDDT is super interesting again here, and would appreciate your pushback b/c when generalist value investors get hurt, it's usually b/c we don't appreciate obsolescence.

To frame it, Google Search is dead. LLMs killed it. $250b of advertiser spend is going to seek out new venues to replace it (go read the ROL transcript). It can't all go to META and there aren't very many other scaled platforms where advertisers can target obvious consumer intent. RDDT is unique in this way. This all happens as RDDT improves the tech stack and sees ARPU go parabolic (guess advertisers like what they see).

To frame it, 2027 is likely around $9-10 in adjusted earnings/shr. 2029 around $15 and maybe 2030 is $20/shr (especially if they step on the buyback and gain share as GOOG Search goes to other venues). Downside is sorta minimal near-term as they have $15/shr in net cash and it's a HSD earnings multiple on the EV. Besides, it's still a pretty rapidly growing business with Q3 revenue up 53%. As a value investor, it's pretty rare to buy something this high quality, growing this rapidly, with this much downside protection, and this much upside potential. Put a 30 multiple on $20/shr in 2030 and that's a lot of blue sky. That's all compared to $92 where the shares closed on Friday.

I guess my question is what am I missing that the market is scared of.

-Obviously, the elephant in the room is that the RDDT relationship with GOOG is breaking down. GOOG stopped sending them high quality referral traffic, even though people are adding Reddit to the search criteria. RDDT is responding by saying they'll stop GOOG from crawling the website, and then forcing leads to log-in to see content. RDDT claims that over 80% of revenue comes from logged-in users and that the non-logged in users mostly just churn out and have to be re-acquired over and over, hence they don't have much economic value. However, DAU will decline as this relationship ends (guided to low double-digits neg comps). Meanwhile, logged-in DAU is still growing. The risk is that lower non logged-in DAU today, means lower logged-in DAU tomorrow.

-A lot of people go to RDDT to learn one specific piece of information. For instance, once an LLM tells you how to stop your toilet from making a funny noise, you may not need RDDT. This is offset by the fact that a surprisingly large percentage of the content seems to be small communities of like-minded people who want to converse about a topic they are passionate about. (I've learned more about how to fix the dirt road at my farm in 3 hours researching RDDT, than I have from dozens of youtube videos and 3 different contractors that I've paid to grade it. I don't know why people keep showing before and after images of dirt roads, but they do and are passionate about it...). Still fewer people going to RDDT to fix their toilet, means fewer people that then stay and drift around. So fewer DAUs.

-Is there something else I'm missing?? Is there another real concern here besides google cutting off the flow of users and LLMs eliminating some of the random traffic??

RDDT is $3b of TTM revenue, and while it's early in this evolution away from Google Search, we've spoken with a lot of companies where the death of Google Search materially impacted their businesses. They're all telling us that RDDT has the highest ROIC of the dozens of things they've tried, and plan to increase spending at RDDT. I know, it's all anecdotal and the bigger macro on future user counts will overwhelm what next quarter looks like, but I'm genuinely curious what other pushbacks there is.

Yes, I know, the site looks like it was built 20 years ago. It's actually amazing it's still around. But it's had other headwinds and somehow has plodded forward, with loyal subscribers. Parag Agrawal tried his hardest to kill Twitter. I mean, he literally lit the thing on fire, kicked out thousands of the most followed content creators, banned anyone who said anything he didn't agree with, and yet it wouldn't die. Jack Dorsey was running Twitter from Africa, without running water or electricity and somehow it kept growing. Some of these sites are just indestructible, and RDDT seems like it's growing. I know that losing Google leads will be a huge headwind, but maybe people are overreacting to the guidance that DAUs will be down, and maybe that isn't even the core metric that matters...

Thoughts...